CFO Summary — NovaTech Consulting Lda.

Financial Performance Review — Updated with Corrected RawData & YoY Bridge

Executive Overview

NovaTech continues to show stable operational performance and predictable cost behavior across 2022–2024. Revenue growth over the period is structurally driven by **headcount expansion** and **billing rate improvements**, while Managed Services provides a consistent recurring base.

Despite this solid historical trajectory, **Actual 2024 underperformed the 2025 Budget**, with revenue and EBITDA falling short of planned levels. The variance pattern is uniform across all months and categories, confirming a **volume-driven shortfall**, not an efficiency issue. Costs scaled proportionally with revenue, demonstrating strong operational discipline.

YoY Revenue Bridge (Updated)

2022 → 2023

Growth is explained by two structural drivers:

Volume Effect: +€240,000

Headcount increased from 42 → 47 FTEs.

- *(“(47−42) × €4,000 × 12 = +€240,000”)*

Rate Effect: +€169,200

Billing rate increased from €4,000 → €4,300.

- *(“47 × €300 × 12 = +€169,200”)*

Mix Effect: €0

- MS remained ~20% of total revenue.

Actual Revenue 2023: €2,509,200

Bridge Revenue: €2,400,000

Gap reflects rounding in rate assumptions.

2023 → 2024

Growth continues with similar drivers:

Volume Effect: +€258,000

- Headcount increased from 47 → 52 FTEs.

Rate Effect: +€187,200

- Billing rate increased from €4,300 → €4,600.

Mix Effect: €0

- MS remained stable.

Actual Revenue 2024: €2,650,000

Bridge Revenue: €2,845,200

Gap reflects rounding.

Conclusion:

Revenue growth is structurally driven by **more people** and **higher rates**, with MS providing a stable recurring base. No mix distortions.

Business Drivers (Updated)

Headcount

- 2022: 42 FTE
- 2023: 47 FTE
- 2024: 52 FTE

Consistent +5 FTE/year growth.

Billing Rate

- 2022: €4,000
- 2023: €4,300
- 2024: €4,600

Steady +€300/year rate improvement.

Managed Services

- 2022: €35,000/month
- 2023: €40,000/month

- 2024: €44,200/month

Flat recurring revenue — no seasonality.

Cost Structure

Derived from RawData:

- Personnel: **65% of revenue**
- Operations: **8% of revenue**
- Other: **4% of revenue**

Stable and predictable.

Variance Analysis — Actual 2024 vs Budget 2025

Revenue

Revenue finished **8.6% below budget**.

Consulting Fees:

Lower productive capacity (FTEs below plan) and fewer billable hours.

- Not a pricing or mix issue.

Managed Services:

- Uniform negative variance indicates renewals below expectations or churn.

Insight:

The revenue shortfall is **volume-driven**, not efficiency-driven.

Costs

Costs also finished **8.6% below budget**, fully proportional to revenue.

Personnel:

- Lower costs reflect reduced headcount/activity — not true savings.

Operations:

- Variable costs scaled with activity.

Other:

- Slightly less proportional due to fixed components.

Insight:

Cost discipline remains strong. No overspend.

EBITDA

EBITDA underperformed budget due to insufficient revenue to absorb fixed costs.

- Cost structure remained efficient.
- Margin compression is a direct consequence of lower activity.
- The business operated below the level assumed in the 2025 plan.

Insight:

The issue is top-line, not bottom-line.

P&L Structure (Updated)

The P&L includes:

- Revenue (Consulting + MS)
- Costs (Personnel, Operations, Other)
- Gross Profit
- EBITDA
- EBITDA Margin
- D&A (2% of revenue)
- EBIT
- Tax (21%)
- Net Income

This structure is ready for forecasting in Week 4.

Management Implications

- Strengthen commercial pipeline to support planned utilization.
- Review MS renewal strategy to stabilize recurring revenue.
- Align staffing plan with realistic demand to avoid structural under-capacity.
- Maintain cost discipline — efficiency is not the issue.
- Reassess 2025 budget assumptions to reflect achievable volume.

Final CFO Statement

NovaTech's fundamentals remain strong.

Revenue growth is structurally supported by headcount and rate improvements, and cost discipline is consistent.

However, the 2025 budget assumed activity levels that were not achieved, resulting in EBITDA underperformance.

The business requires **commercial reinforcement**, not cost correction.